



Crude Oil Evaluation Economics & Pricing

Valuing Crude Grades, Refining Margins and Benchmark Pricing in Global Markets



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Crude Oil Evaluation, Economics & Pricing is a 3-day practical course on how different crude oil grades create value in diverse refining configurations and global markets. It explains crude oil characteristics and qualities, how refiners translate assays and yields into margins, and how benchmarks such as Brent and other key grades are commercially valued and traded. Participants learn how physical, futures and forward markets work together, how hedging and risk management are applied around benchmark pricing, and how marketing, supply and trading decisions are shaped by marine transportation and freight economics.

Special emphasis is placed on West African (WAF) crudes, including the daily assessments published by Platts, and their comparative advantages or disadvantages relative to other regional markets. Throughout the programme, case studies and exercises bridge theory and practice, building the skills needed to understand the physical and commercial aspects of crude oil and to determine a crude's true value in a dynamic market environment. Morning sessions focus on core concepts and frameworks, while afternoon sessions apply them to real-world trading, pricing and contract scenarios.

 LOCATION

Rio de Janeiro

London

Singapore



COURSE OBJECTIVES

By the end of the course, participants will be able to:

- Describe the main stages of crude oil production and how crude moves into refining and markets.
- Distinguish key crude oil types and characteristics, including the significance of light vs heavy and sweet vs sour grades.
- Apply practical crude oil evaluation and assessment methods to compare grades and understand yield and margin implications.
- Analyse crude oil pricing and competitive differentials between benchmark and regional grades.
- Explain the role of the Brent market and other key benchmarks in global crude valuation.
- Understand how physical, futures and forward markets operate and interact in crude oil trading.
- Plan and discuss crude oil sales, supply, trading and contract negotiations with greater commercial insight.
- Develop simple operating and business plans for crude supply to refineries, aligning crude selection, pricing and trading strategies with commercial objectives.



This course is designed for technical and non-technical professionals in the oil and gas industry, as well as in business and financial institutions, who want a clear, jargon-free understanding of the physical and commercial aspects of crude oil sales, supply and trading. It is particularly valuable for those seeking insight into how crude oil is converted into refined products and how these products are priced and valued in open markets.

Recommended participants include:

- I. Oil and gas engineers
- II. Planning engineers and managers
- III. Oil marketing managers and traders
- IV. New entrants to refinery or petroleum industry roles
- V. Business analysts
- VI. Banking and government officials involved in energy or commodities
- VII. Finance and accounting analysts supporting refining, trading or investment decisions

Day 1

Overview

- Introduction to oil industry
- Overview of global crude supply/demand
- Introduction to crude oil production

Crude Oil Characteristics

- Crude oil characteristics
- Benchmark crudes
- Significance of light/heavy and sweet/sour crudes
- Crude, condensate and other feedstocks

Crude Oil Refining

- Fundamentals of refining process
- Refinery configuration
- Refining margins
- Refining operations and optimisation
- Impact of configuration on refining economics

[Exercises / Case Study](#)

Day 2

Evaluating Crudes

- Crude oil evaluation, selection and assessments
- 3-2-1 crack spread
- Understanding refined products

Pricing Mechanism

- Introduction to crude oil pricing
- Introduction to products pricing
- Physical markets and regional hubs
- Role of Exchange and Benchmark
- Understanding Brent and North Sea crude markets
- Understanding dynamics of US domestic and Canadian crudes

Crude Oil Trading

- Physical, Forward and Futures markets
- Price exposure and risk management

[Exercise / Case Study](#)



Day 3

Crude Oil Trading (Cont'd)

- Specifics of physical oil trading
- International crude oil trading

Crude Oil Transportation

- Crude supply and transportation
- Marine freight and economics
- Backhaul supply economics
- Crude processing deals

Crude Oil Contracts

- Crude oil contract negotiations
- Types of oil contracts – legal and commercial implications
- Regional market dynamics
- Role of OPEC and geopolitics
- Developing crude oil supply plans

Exercise / Case Study

Day 4

Overview of Global Downstream Business

- Global Supply/demand balance
- Overview of refinery operations
- Impact of refining configuration on economies
- Crude oil types and characteristics
- Crude oil yield and GPW
- Products specification and its significance
- Products blending (gasoline, gas oil and fuel oil) Calculation of refining margins
- Introduction to petrochemicals

Commercial aspects of refining planning

Case study

Running an interactive simulation for crude oil and products trading involving different pricing structures and various delivery modes in a real world. The attendees will also learn how spot barrels are traded and how arbitrage trades are done.

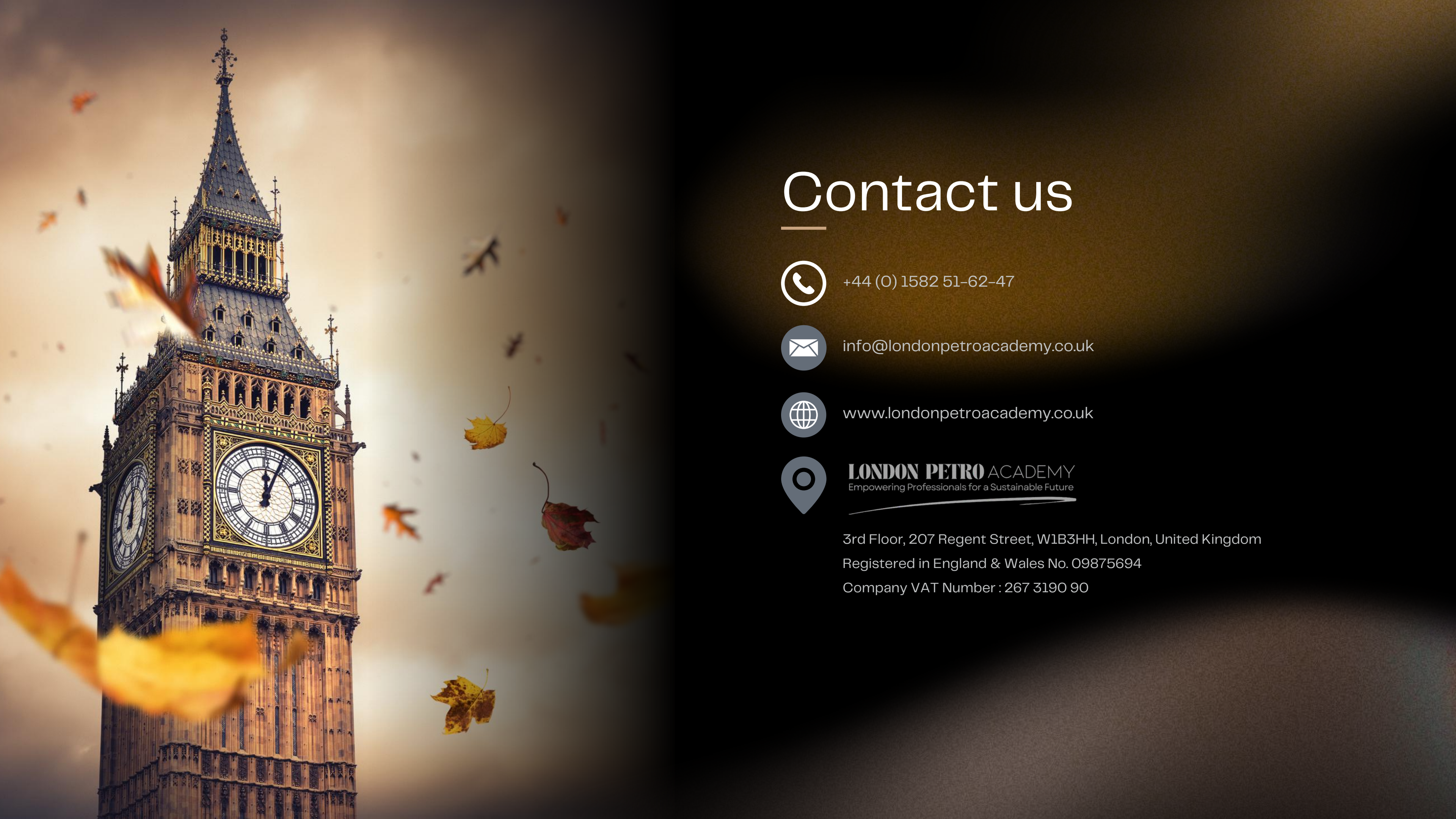
The second case study will focus on shipping economics and cargo operations and how economies of scale in shipping can affect trading margins



Day 5

- Global Refining, Supply and Trading
- Overview of global refining
- Physical oil markets
- Market structure and regional trading hubs
- Crude oil and products' pricing
- International oil supply and trading
- Price exposure and risk management
- Principles of hedging
- Oil contracts and its implications of commercial terms
- West African Crude Assessment
- Why is Platts assessing new West African Crude grades?
- What assessment methodology will define the new West African assessments?
- What are the benefits of using Platts West African crude assessments
- An outlook on a comparative advantage (if any) on West African crude
- A simulated/likely forecast on the future of marketing WAF crude and gas
- How alternatives affect the marketing of WAF crude and things to consider while pricing this
- Risk assessment & management in marketing crude and gas
- Benefits/detriments of a glut/scarcity of crude/gas
- How the market responds to news (negative/positive)
- End of programme





Contact us



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Registered in England & Wales No. 09875694

Company VAT Number : 267 3190 90